

firm has the opportunity to build what Robert Greenleaf, the creator of the concept of servant-leadership, liked to call “the superior company.” Here’s how he described such an enterprise:

What distinguishes a superior company from its competitors are not the dimensions that usually separate companies, such as superior technology, more astute market analysis, better financial base, etc.; it is unconventional thinking about its dream—what this business wants to be, how its priorities are set, and how it organizes to serve. It has a radical philosophy and self-image. The company’s unconventional thinking about its dream is [often] born of a liberating vision. Why are liberating visions so rare? Because a powerful liberating vision is difficult to deliver. That difficulty of delivery, however, is only half of the answer. The other half is that so few who have the gift for summarizing a vision, and the power to articulate it persuasively, have the urge and the courage to try. But there must be a place for servant-leaders with prophetic voices of great clarity who will produce those liberating visions on which a caring, serving society depends.

I leave to far wiser—and more objective—heads than mine the judgment about the extent to which Vanguard may meet the definition of a superior company. Of course, I hope it does. But I have no hesitancy in saying it is the product of unconventional thinking about what we wanted to be, about how we set our priorities, and about how we organized to serve our clients.

Values and Profits

By now, it probably goes without saying that I’m deeply convinced other firms—be they mutual fund firms, other financial firms, or even firms engaged in manufacturing goods and providing services—can learn from Vanguard’s example. I’m pleased to say that I’m not alone in that conviction. In *The Value Profit Chain*, three Harvard Business